taxation or nationalization – especially if the domestic public feels, with the benefit of hindsight and populist egging, that the assets had been sold too cheaply in the past. The security of a country's ownership of oil assets in poorly governed foreign countries likely diminishes when the oil price rises.

PLANNING FOR A BLEAK WORLD

How then should a small country hedge oil price risk? Liquid, oil-linked financial securities in well-governed financial markets, such as oil futures traded in developed markets, make the most sense, but not enough is available very far out. There do, however, exist liquid, long-dated, oil-linked securities – the equity of large oil companies. So, without being facetious, perhaps the best advice I could offer countries seeking to hedge oil price risk is 'Buy Exxon shares!'

If economic security isn't the reason, why would a country want to buy large interests in poorly managed oil companies in dangerous locations? It might make good business sense – the target is poorly managed and can benefit from the know-how and management the acquirer provides. But, then, this is a sound business case for buying the asset untainted by specious claims of enhancing national security. It's important that the target's price not fully discount these future managerial improvements. For instance, targets in countries that are international pariahs may be attractive for acquiring countries that are still willing to do business with them because the acquisition price may be extremely low. Otherwise, it's hard to see how the acquirer will escape the customary fate of acquisitions: they typically overpay and lose money in the long run.

Other reasons are less good. One is that countries fear a total market breakdown and descent into an autarkic 'Mad Max' world in which oil is scarce, no country is willing to allow trade in what it has, and there's no world market clearing price. It's not clear that, if such a